A2: Glossary

SECURITY
A tradable financial instrument, such as a stock or an exchange-traded fund.

SHARE
A unit of ownership in a company or fund.

CLOSING PRICE
The price of a security at the close of a trading session, generally the last price traded during regular hours.

MARKET
The system of buyers and sellers through which securities are traded.

HOLDING
A security or other asset owned in a portfolio, or the quantity owned.

PORTFOLIO
The holdings and cash held in an account.

PORTFOLIO VALUE
The total market value of a portfolio’s assets, including cash.

ORDER
A request to buy or sell a stated number of shares of a security.

TRADE
A completed purchase or sale of a security.

STRATEGY
A plan or rule for deciding when and what to buy or sell.

BACKTEST

A simulation of how a strategy would have performed on historical market data.

RETURN

The gain or loss on an investment over a period, commonly expressed as a percentage.

ACCOUNT EQUITY

The value of an account’s assets minus its liabilities.

EQUITY CURVE

A chart of account equity over time.